

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

RESPONDENT'S MOTION FOR EXTENSION OF SCHEDULING ORDER

SM LINE CORPORATION ("SM Line" or "Respondent") by and through its undersigned counsel, submits this motion for an amendment extending the current Scheduling Order dated June 2, 2023 ("Scheduling Order") for 60 days.

STATEMENT OF FACTS

On June 9, 2023, the parties exchanged their respective discovery demands. As soon as Respondent received the demands from Complainant, it accelerated searches in various places around the world for documents that would be responsive to Complainant's document requests, as well as gathering information in responses to Complainant's interrogatories, both of which were very extensive. In fact, Respondent had begun gathering documentation soon after this proceeding was commenced by Complainant. However, the bulk of the documents, that total of 58,615 items, and are estimated to be comprised of anywhere between 150,000 and 200,000 pages (if not more), were provided by Respondent to its counsel between June 22, 2023, and July 21, 2023, not long

after the discovery demands were received and reviewed. In short, Respondent SM Line acted diligently and quickly to locate all documents in response to Claimant's demand.

However, although our firm immediately began a review process with respect to the materials provided by our client, using four seasoned counsel and two experienced paralegals, the process is unavoidably slow. There is not only the sheer quantity of the documentation received, which has to be read page by page, but there is also the fact that (1) a portion of the documents (in the thousands) are in a foreign language, and (2) many of the documents contains both responsive information and information that is not responsive but still includes information that is confidential – all of these documents require redactions.

To date, Respondent has produced 29,104 documents to the Complainant. However, it has also become increasingly apparent to Respondent that it is impossible for the Respondent to complete the review of the balance of the documents and fulfill the production by the current deadline of August 18, 2023.

While the Parties were exchanging multiple emails and participating in numerous conference calls about a possible formal mediation, Respondent's counsel has discussed several times with Complainant's counsel the need to reach an agreement on jointly extending the discovery schedule for a reasonable period of time. However, Complainant's counsel has not been able to receive authority from its client to do so.

THE COMPLEXITY OF THE MATTER WARRANTS AND EXTENSION OF THE SCHEDULING ORDER

Under 46 C.F.R. §502.141(g) of the Commission's regulations, it is required that discovery be completed within 150 days of the service of a respondent's answer. This uniform time period is acknowledged by Respondent and its counsel. In a simple or routine case, 150 days is indeed a

reasonable period of time to complete discovery. However, the captioned matter is by no means a routine or simple case. This dispute involves *tens of thousands of shipments*. Necessarily, the documentation for the cumulative shipments is going to be measured in the thousands of pages. This is not a one shipment dispute. Furthermore, at least as far as SM Line is concerned, a sizeable portion of those documents are in a foreign language or will require tedious redactions because of confidential and proprietary information.

As noted, before, the production of documents by Respondent in this matter is expected to be between 150,000 and 200,000 pages if not more. So far Respondent has produced to Complainant 29,104 documents, out of the 58,615 documents retrieved by our client, totaling 35,518 pages. By comparison, Respondent has received 40,971 pages from the Complainant. (The Complainant may produce additional documents before the end of August 18th, 2023). Those documents must also be reviewed before depositions can take place. Evaluating the validity of the allegations made by the Complainant necessitates detailed examinations, which include, among other aspects, an analysis on a container-by-container basis and specific review of each shipment/movement histories. We are also evaluating the need of submitting a motion to seek the Court's permission to file a third-party complaint(s).

Further, the Parties have not noticed any depositions. And there will be several depositions because of the number of witnesses. In sum, Respondent respectfully submits that the complexity of this case, and the doctrine of fairness, warrant some flexibility in respect to the 150-day rule to complete discovery. Fairness is not just an issue for Respondent. It is an issue for Claimant and the Panel as well, because if mistakes are made, or if documents are missed in the rush for production, or if pertinent information that the Panel could have relied upon is skipped, the

consequences can mean that settlement opportunities are regrettably lost, or the quality of the decision by the Panel is flawed.

Respondent acknowledges the admirable goal set out by the Commission in order to ensure the prompt resolution of claims and disputes administered by the Commission; one which the deadlines for issuance of initial and final decisions are intended to achieve. Respondent also acknowledges how Scheduling orders are an important part of this process and are not taken lightly. However, in recognition of the importance of fairness, it is not unusual for the deadlines for completion of discovery and/or for the issuance of initial and final decisions to be extended by administrative law judges and the Commission, and for scheduling orders to be revised accordingly. Indeed, it is not uncommon for decisions on the merits to require more time than allotted under the same regulations.¹

There are also policy considerations which favor allowing sufficient time for a full development of the evidentiary record before an agency, rather than enforcing strict adherence to a particular schedule. See *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines* — Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, 29 S.R.R. 1376, 1377 (ALJ 2002)(policy and responsibility of Commission and, by delegation of authority, presiding judge, to inquire into and consider all relevant facts; of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits their positions, is the need to ensure that justice is served and all relevant facts are considered by the Commission). Strict adherence to a schedule should not override these policy considerations. See also, *Anderson*

¹ Some recent examples of this include FMC Docket No. 15-11 (complaint filed November 16, 2015, FMC decision now due October 18, 2021); FMC Docket No. 17-05 (complaint filed May 23, 2017, initial decision issued May 24, 2019, Commission decision issued July 26, 2021); FMC Docket No. 19-02 (complaint filed December 20, 2018, initial decision issues March 30, 2021, case stayed from June to November of 2020)

International Transport and Own Anderson — Possible Violations of Sections 8(a) and 19 of the Shipping Act of 1984, 31 S.R.R. 1091 (FMC 2009) (citing policy considerations discussed in Hudson as basis for reopening the record).

This is the first request for an extension, which SM Line respectfully submits is modest, reasonable, and necessary under the circumstances. Furthermore, Respondent believes that good cause has been demonstrated to extend the deadlines in the Scheduling Order dated June 2, 2023 ("Scheduling Order") for 60 days. SM Lines accordingly proposes the following revisions to the Scheduling Order:

Task	Old Date	New Date
Complete document production	August 18, 2023	October 17, 2023
Complete fact depositions.	September 29, 2023	November 28, 2023
Expert discovery begins.	October 2, 2023	December 1, 2023
Close of all discovery.	October 9, 2023	December 8, 2023
Complainant's brief, proposed findings of fact, and appendix.	November 7, 2023	January 8, 2024
Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.	December 6, 2023	February 5, 2024
Complainant's reply brief and responses to proposed findings of fact	December 20, 2023	February 20, 2024

Lastly, mindful of the potential size of the Parties' production and the related time of review of those materials by each party, SM Line also proposes that a joint report on the status of discovery be submitted by the Parties no later than October 10, 2023.

CONCLUSION

For the reasons explained above, additional time is needed by SM Line to complete its review and production of documents responsive to SEA's very extensive discovery requests. SM Line accordingly requests that its motion extending the Scheduling Order be granted.

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Dated: August 16, 2023

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 16th day of August 2023, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
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Federal Maritime Commission
Presiding Administrative Law Judge
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